IA

Innovative Aerosystems, Inc. (NASDAQ)
As-of: 17-Oct-2026 | Latest Filing: Q3 FY26 (8-K) | Currency: USD

$19.35 [Mkt 16-Oct-26]

Market Cap: $346M [Mkt 16-Oct-26]

Attractiveness Score

Confidence: **High** (0 pillars excluded)

Pillar Breakdown

1. Operating Quality — 72

51.7% gross margins, capital-light FCF generation, FAA/EASA certification moat with decades-long platform lives. Offset by micro-cap scale, acquisition integration risk, and debt from the Aydin deal.

2. Recent Trend — 85

Revenue 3x'd from $27.7M to $84.3M (FY22-25). Gross margin expanded 16pts YoY to 51.7%. Adjusted EBITDA +74.7%. EPS beats of +150%, +37%, +57% over the last three quarters.

3. Forward Growth — 72

$250M 2029 revenue target (nearly 3x TTM) underwritten in base DCF. eVTOL $50M option, Honeywell annuities, Aydin cross-sell. Growth is real but execution-dependent on a tiny base.

4. Valuation — 78

Spot $19.35 sits at the bear case ($19.22); base $45.41 implies +135% upside. Reverse DCF shows the market pricing below-bear growth. PEG 0.83. Among the most asymmetric setups in coverage.

5. Catalysts & Risk — 68

Q4 earnings Dec 17, eVTOL ramp, Aydin integration all near-term. Risks: backlog must convert (book-to-bill 0.85x), eVTOL timeline, net debt 1.4x, micro-cap liquidity. Size accordingly.

Investment Thesis

- **Capital-Light Avionics Compounder:** 51.7% gross margins, $12.3M of 9M FCF, and a certification moat around cockpit avionics with decades-long platform lives [Q3 PR Aug-26].
- **Platform Sprint Underway:** Aydin Displays ($16M revenue) adds defense footprint; exclusive Honeywell license adds annuities; eVTOL design win adds $50M+ of option value. Target: $250M revenue by 2029 [Note 11-Oct-26].
- **Market Prices Failure:** At $19.35 [Mkt 16-Oct-26], the market implies below-bear growth against an $82.9M backlog. Our $45.41 base case is +135% upside; even the $19.22 bear case pays at spot.

Key Operating Metrics

METRIC	LATEST	YOY CHANGE	3Y TREND
Revenue (Q3 FY26)	$26.7M [Q3 PR Aug-26]	+10.7% [Q3 PR Aug-26]	Up
Gross Margin (Q3 FY26)	51.7% [Q3 PR Aug-26]	+16.1 pts [Q3 PR Aug-26]	Up
Bookings (Q3 FY26)	$22.7M [Q3 PR Aug-26]	n/a	Flat
Contracted Backlog	$82.9M [Q3 PR Aug-26]	n/a	Up
9M FY26 Free Cash Flow	$12.3M [CB Insights]	vs $4.8M [CB Insights]	Up
Net Debt (1.4x leverage)	$43.8M [CB Insights]	n/a	Up
2029 Revenue Target	$250M [Note 11-Oct-26]	n/a	New

Historical Financial Trend

METRIC	FY22	FY23	FY24	FY25	TTM
Revenue	$27.7M [Inc 17-Oct-26]	$34.8M [Inc 17-Oct-26]	$47.2M [Inc 17-Oct-26]	$84.3M [Inc 17-Oct-26]	$93.2M [Inc+calc]
Net Margin	19.9% [Inc 17-Oct-26]	17.3% [Inc 17-Oct-26]	14.8% [Inc 17-Oct-26]	18.5% [Inc 17-Oct-26]	20.5% [Inc+calc]
FCF Margin	21.4% [Inc 17-Oct-26]	5.2% [Inc 17-Oct-26]	10.9% [Inc 17-Oct-26]	8.1% [Inc 17-Oct-26]	n/a [n/a]

Valuation

Absolute (8/10)

DCF Base $45.41 vs spot $19.35: +135% [DCF 16-Oct-26]
PEG 0.83 [Mkt 17-Oct-26]
NTM P/E 17.8x [Mkt 17-Oct-26]

Even the $19.22 bear case sits at spot. The market is pricing near-collapse against a growing backlog. Deeply undervalued if execution holds.

Versus Peers (7/8)

EV/Rev 4.6x TTM / 4.2x NTM [Mkt 17-Oct-26]
EV/EBITDA 15.3x TTM [Mkt 17-Oct-26]

Screens modest for a certified, sole-source avionics franchise at 51.7% gross margins. Russell 2000 inclusion widened the buyer base.

Versus History (5/7)

Traded $2-7 for years [Mkt]
Now $19.35 on Russell inclusion + Aydin

The multi-year run reflects the rebrand and deal; the stock has not yet priced the $250M 2029 plan.

Catalyst Timeline

Dec 17, 2026 [Cons]
Q4 FY26 Earnings (Two-Sided): consensus EPS $0.27, revenue est $28.7M vs management's $28-30M guide. Tests backlog conversion pace.

2027 [Note 11-Oct-26]
eVTOL Production Ramp (Positive): first production award for Liberty Flight Deck with a leading Japanese developer; $50M+ nominal forward-fit value.

Top Risk Factors (Item 1A)

1. Backlog Conversion Risk: The $82.9M backlog must convert on schedule to feed the $250M 2029 target. Q3 book-to-bill of 0.85x is below 1.0x; two consecutive quarters below 1.0x would break the thesis. [Note 11-Oct-26]

2. eVTOL Program Risk: The $50M+ eVTOL opportunity depends on a single Japanese developer's program timeline. Delays or cancellation remove the largest forward-fit growth option. [Note 11-Oct-26]

> **2027-2029** [Note 11-Oct-26]
> Honeywell License Aftermarket (Positive): exclusive power-generator license on 767, KC-46, F-15 adds high-margin annuity revenue not yet in backlog.

What Would Change Our Score

Backlog deterioration (two consecutive quarters of book-to-bill below 1.0x) or loss of the eVTOL contract would cut Forward Growth sharply. Conversely, continued beat-and-raise quarters converting backlog toward the $250M target re-rate the stock toward our $45 base case.

3. M&A and Leverage: $24.5M Aydin deal was funded with cash and credit-facility borrowings, leaving $43.8M net debt at 1.4x leverage. A large equity-funded deal would break the capital-light model. [PR Jul-26]

4. Micro-Cap Liquidity: $346M market cap with limited float and liquidity. Russell 2000 inclusion helps, but the stock can gap hard on small volume and remains execution-dependent. [Mkt 16-Oct-26]

Forward Growth Drivers

- Exclusive Honeywell license: power generators on 767, KC-46, F-15 with long-tailed aftermarket revenue [Note 11-Oct-26]
- Aydin Displays acquisition ($24.5M): ~$16M 2026 revenue plus naval and ground defense footprint [PR Jul-26]
- eVTOL program: $50M+ forward-fit potential, not in base-case backlog conversion [Note 11-Oct-26]
- Management's $250M 2029 revenue target underwritten in the base-case DCF [Note 11-Oct-26]

Missing / Modified Data Log

- Client note (11-Oct-26) targets Bear $26 / Base $61 / Bull $97 at 7.4% WACC; current sheet shows $19.22/$45.41/$72.84 at 9.33% WACC. Using current sheet values.
- TTM FCF margin unavailable: quarterly cash flow series not collected; 9M FY26 FCF $12.3M reported instead.
- YoY bookings and backlog figures not disclosed in Q3 release; logged as n/a.
- Book-to-bill was 0.85x in Q3 ($22.7M bookings on $26.7M revenue).
- IA renamed from Innovative Solutions and Support; ticker changed ISSC to IA on Aug 18, 2026.

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